

Module 14

Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The ascertainment of profit source is a hard practical matter of fact, the broad guiding principle is "one looks to see what the taxpayer has done to earn the profits in question, and where he has done it". In other words, we need to ascertain what were the operations that produced the profit and where those operations took place.

The profit in question is profit from the purchase and sale of listed shares. According to the decision in the Hang Seng Bank case, it is derived from the place where the contracts of purchase and sale are effected by the stockbroker on behalf of the taxpayer at the stock exchange.

The Inland Revenue Department ("IRD")'s practice note no.21 (Revised) also states that the locality of profit under this situation is the location of the stock exchange where the shares or securities in question are traded.

Following this, as the disposal gain of HK\$6,000,000 was derived from shares listed in the Shanghai Stock Exchange located outside Hong Kong, the profit in question should be offshore in nature.

In rare situation, the IRD may also take into account the contract of purchase in determining the profit source if the disposed shares were not purchased from a stock exchange. Whilst no detailed information in this regard was given in the case, as the shares were acquired during the series B financing conducted in Shanghai a reasonable assumption is that the relevant procedures for negotiation, conclusion and execution of the share purchase agreement were likely also conducted in Shanghai and hence the contract of purchase was effected outside of Hong Kong.

Answer 1(b)

Under Article 13 of the Double Tax Agreement ("DTA"), the following paragraphs are relevant and the application to K Limited's gains from disposal of shares listed in the Shanghai Stock Exchange ("the Gain") are analysed as follow:

- Paragraphs 1 to 3 are irrelevant as they are dealing with gains from disposal of movable and immovable property.
- Paragraph 4 is also irrelevant as it is unlikely that the Chinese IT company's assets are mainly comprised of immovable property located in mainland China.
- Paragraph 5 provides guidance that mainland China has the taxing right on share disposal gains where the share being disposed comprised not less than 25% of the entire shareholding of the investee company, i.e. the Chinese IT company. This is also irrelevant as the shareholding involved in this disposal is only 2.3%.
- Paragraph 6 provides that gains from alienation of any property (including shares), other than that referred to in paragraphs 1 to 5, shall be taxable only in the Side of which the alienator is a resident, i.e. Hong Kong as K Limited being the alienator is a Hong Kong tax resident company.

In accordance with Para 6, Hong Kong should have the taxing right of the Gain and hence the Gain is not subject to China corporate income tax under Article 13 of the DTA.

Answer 1(c)

K Limited
Profits Tax Computation 2023/24
Year Ended 31 December 2023

	HK\$
Profit before tax	8,140,000
Add: Non-deductible interest expense – Note 1	500,000
Expense attributable to offshore profit – Note 2	816,000
Less: Offshore disposal gains	(6,000,000)
Assessable profits for 2023/24	<u>3,456,000</u>
Profits tax @8.25% for assessable profits up to HK\$2m	165,000
Profits tax @16.5% for assessable profits over HK\$2m	<u>240,240</u>
Profits tax liability for 2023/24	<u>405,240</u>
Effective tax rate for 2023/24 (HK\$405,240/ HK\$8,140,000)	<u>4.98%</u>

Note 1: Under s.16(1) of the Inland Revenue Ordinance ("IRO"), expense is deductible to the extent that it is incurred in the production of chargeable profits.

As the interest expense is for a bank loan borrowed wholly to finance the acquisition of the Shanghai listed shares that generated non-taxable offshore disposal gains, it was not incurred in the production of chargeable profits. Thus, the interest expense does not satisfy the general condition for tax deduction and is hence non-deductible.

Note 2: Total indirect expenses for both onshore/ offshore disposal gains (HK\$1.86m - HK\$0.5m)	HK\$1,360,000
Ratio of offshore gains over total gains (HK\$6m/ HK\$10m)	<u>60%</u>
Non-deductible expenses attributable to offshore gains (HK\$1.36m x 60%)	<u>HK\$816,000</u>

Answer 2(a)

The following paragraphs discuss the required aspects of the Foreign Source Income Exemption ("FSIE") regime in light of the fact pattern applicable to K Limited post June 2024 relating to K Limited's earning of the Gain:

- Covered income includes foreign-sourced equity interest disposal gain. The Gain is from disposal of overseas listed shares and is thus foreign-sourced, so it will be covered income. Note that this position is the same before the departure of Peter and his team on 25 February 2024.
- Covered taxpayer includes members of an Multi National Enterprise ["MNE"] group carrying on business in Hong Kong. An MNE group is defined to include at least one entity that is not located in the jurisdiction of the ultimate parent entity of the group. M Group is an MNE group as it is comprised of entities located in various jurisdictions, and K Limited is a member of an MNE group either by way of ownership (as it is wholly owned by M Group) or control (as its financial results are consolidated into M Group's consolidated financial statements).
- Under the deeming provision, as K Limited is an MNE entity carrying on a business in Hong Kong (as evidenced by the fact that it still maintains administrative function in Hong Kong namely the part-time clerk), the Gain that is foreign-sourced will be deemed to be Hong Kong sourced and chargeable to profits tax in the year when such income is received in Hong Kong. This event will happen when the net sale proceeds are remitted to Hong Kong for repayment of K Limited's bank loan.
- Notwithstanding that the Gain is primarily chargeable to profits tax under the deeming provision of the FSIE regime, such gain can escape from charge if K Limited meets any one of the exception requirements applicable to non-IP disposal gain namely participation requirement and economic substance requirement.
- Under the participation requirement, the ownership requirement of continuously holding not less than 5% of the Chinese IT company for a period of not less than 12 months immediately before the disposal is met. However, the subject to tax condition is not met because the Gain will not be subject to corporate income tax in mainland China as concluded in the answer to Question 1(b). Overall, the participation requirement is not met.

Answer 2(b)

As K Limited is regarded as a pure equity-holding company by the IRD, the economic substance required on K Limited is:

1. satisfying every applicable registration and filing requirement under the Business Registration Ordinance and Companies Ordinance; and
2. having adequate human resources and premises for carrying out the specified economic activities in Hong Kong -- meaning holding and managing its equity investment in investee companies.

Whilst condition 1 can be met easily by the Hong Kong-based part-time clerk monitoring the compliance status properly, condition 2 can be challenging after the departure of Peter and his team in February 2024 and the limited business substance (clearly not managing) left behind in Hong Kong.

In fact the specified economic activities are now being conducted in Country U by the new team there. A reasonable interpretation of condition 2 would easily point to the unfavourable conclusion. Overall, the economic substance requirement is not met. Note that K Limited had once satisfied the economic substance requirement when Peter and his team and the entire investment business was in Hong Kong.

To conclude, the Gain will be subject to Hong Kong profits tax under the deeming provision in the FSIE regime.

This tax position is different from the earlier 2.3% disposal as the exception requirement for economic substance is no longer met after the business changes.

Answer 3

[Letterhead of the firm]

[date]

Mr Peter [last name]

[address]

Re: Tax advisory on taxation of sums received under cessation of employment

Dear Peter

We refer to your request for tax advisory on the taxation of the following sums you received upon your termination of employment with K Limited under salaries tax:

- (i) Payment in lieu of notice for employment termination of HK\$50,000.
- (ii) Profit participation of HK\$407,000.
- (iii) Compensation of HK\$3,000,000.

We understand you are well aware that you have a Hong Kong employment with K Limited whereby the required services were all rendered in Hong Kong. Accordingly, all income earned under this employment is arising in or derived from Hong Kong from a salaries tax perspective, and no consideration will be given for income exemption or tax credit relief in this tax advisory on the basis no overseas tax has been paid on any part of the income earned under this employment.

In light of this background, we will not discuss in this tax advisory the income taxation from income source and double tax relief perspectives. Should you consider otherwise, please let us know.

Overview of Hong Kong salaries tax regime on taxation of employment income:

Under section 8(1) of the IRO, salaries tax shall be charged for income arising in or derived from Hong Kong from employment of profit. Income from employment is defined under section 9(1)(a) of the IRO to include any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite or allowance. Please note that this definition is not exhaustive and reliance on case laws to assist in the interpretation is often necessary.

As sums (i) and (ii) are entirely from a Hong Kong employment relating to services rendered in Hong Kong, primarily they are chargeable to Hong Kong salaries tax under section 8(1) of the IRO to the extent that the nature falls within the definition of income as defined in section 9(1)(a) of the IRO.

We would like to set out below our specific comments for taxation of the income in question under salaries tax.

(i) Payment in lieu of notice for employment termination of HK\$50,000

Whilst not specifically covered in the income definition in section 9(1)(a) of the IRO, in 2011 the Court of Final Appeal in the case *Fuchs v Commissioner of Inland Revenue* [2011] 2 HKC [“the Fuchs Case”] has clarified that payment in lieu of notice contractually agreed is income from employment and chargeable to salaries tax under section 8(1) of the IRO. As this treatment is contrary to the IRD earlier assessing practice, the IRD has stated in its website that payment in lieu of notice accrued on or after 1 April 2012 is assessable to salaries tax.

Since the requirement to make payment in lieu of notice of HK\$50,000 was specified in your employment contract and paid to you in accordance with this term, the IRD will likely take the above stance and regard this payment as income from employment rather than compensation, and therefore this sum is subject to salaries tax.

(ii) Profit participation of HK\$407,000

Again performance reward is not specifically covered in the income definition in section 9(1)(a) of the IRO, nonetheless we should ascertain the true nature of this sum by reference to the underlying nature and character of this income, rather than taking the name or label attached to it.

We understand you are not a lender or shareholder of K Limited and therefore this sum should not be in the nature of interest, dividend or profit distribution that is outside the charging scope of salaries tax. By reference to the basis of computation of this sum and the circumstances this sum is awarded to you, it is very likely your receipt of this sum is related to your past services rendered to K Limited in the capacity of an employee.

In the *Fuchs Case*, the following guidance was provided on whether a payment is income from any office or employment of profit:

"In light of the terms on which the taxpayer was employed and the circumstances of the termination, is the sum in substance 'income from employment'? Was it paid in return for his acting as or being an employee?"

Was it an entitlement earned as a result of past services or an entitlement accorded to him as an inducement to enter into the employment?"

Following the above guidance and by applying the fact pattern applicable to this sum, it is more likely than not that this sum is paid to you being an employee of K Limited and is an entitlement (as specified in your employment contract) earned as a result of past services to K Limited. Therefore, the sum is income from employment likely in the nature of bonus or gratuity and subject to salaries tax.

(iii) Compensation of HK\$3,000,000.

Payment made in consideration of a post-employment restrictive covenant is generally not chargeable to salaries tax. This position is affirmed by the High Court in *CIR v Yung Tse Kwong* (2003) HKICA.

In your case, we understand this sum is paid to you in consideration of your acceptance to the employment restriction imposed on you for the next 3 years after this employment termination. The acceptance of this restrictive covenant may negatively impact your financial position and therefore the sum can be regarded as a compensation. On the argument that this sum is not made as a reward for your past, present or future services, this is not income from employment and hence not chargeable to salaries tax.

Further, the fact that the payment of this sum was only agreed on the date of employment termination should support the argument that this restrictive covenant was not stipulated your employment contract and even not envisaged/ expected when you entered into the employment contract. Therefore no part of this sum should be attributable to income from employment or inducement to enter into this employment and therefore taxable under salaries tax as suggested in the *Fuchs Case*.

Administrative matters

Please be reminded that you have to report the compensation of HK\$3,000,000 in your Tax Return – Individuals even if you take the filing position that this is non-taxable, and provide the grounds for exemption.

The IRO has imposed the burden of proof on taxpayer. Upon request you have to provide information and documentary evidence to the IRD to support your non-taxable claim to the satisfaction of the IRD. Failure to discharge the onus of proof will result in denial of your non-taxable claim by the IRD, the consequence being payment of tax and potentially penalty for incorrect tax return filed.

Upon receipt of your further instruction, we are happy to provide further tax advisory and assistance in collecting the relevant information necessary to support the non-taxable claim, and dealing with the IRD's enquiries for you.

We hope the above information is of useful to you. If you have any information, please feel free to contact us.

Yours faithfully,

[name]

[position]

Answer 4(a)

Based on the facts provided, there appears a risk of Money Laundering ("ML")/ Terrorist Financing ("TF") around Adam's identity and the transaction he is going to conduct through K Limited, due to the presence of the following red-flag indicators:

- There are war zones and terrorist activities in Eastern Europe and the Middle East. As such, one may suspect the drone is in fact a weapon to be used for terrorist attacks.
- The attitude of Adam in disclosing the exact nature of the drone may lead to a stronger suspicion regarding the use of the drone.
- The very substantial profit from the one-off trade and the commission to the agent with a military background, coupled with the use of crypto currency for settlement likely to conceal the identity of the parties, post a very strong picture of an illegal international weapon trade in the black market.
- The commission to the agent may involve bribery for the supply or procurement of the drone, which may be subject to trade restrictions due to national security. Note that bribery is an indictable offence in Hong Kong.
- The unusually high professional fee likely is not commensurate with the work required in delivering the tax advice. A more sensible guess is the very high fee is to induce the firm to provide a digital wallet to conduct the trade, possibly to increase the difficulty of investigation by a law enforcement agency.
- Though the name of Adam is very common in the Arab world, Arab naming conventions can be very challenging to Customer Due Diligence ("CDD") process as names are structured differently from Western names, and the structure of a person's name can provide important information about his family, tribe, and other affiliations. Therefore, one cannot eliminate the possibility that Adam is not the person subject to sanctions by the United Nations ("UN").

Para 620.3.1 of the Guidelines provides that CDD requirements must be applied when there may be a suspicion of ML/ TF or when there is doubt about the veracity or adequacy of any information previously obtained for the purpose of identifying the client or verifying the client's identity. Based on the red-flag indicators mentioned above, the Firm should conduct a CDD on Adam to verify whether he is in fact the person subject to sanctions by the UN.

Para 620.3.4 provides that if the Firm is unable to comply with the above, the business relationship with Adam should be terminated as soon as practicable.

Where you have knowledge or suspicion of matters relating to ML/ TF, you should inform the Firm's Money Laundering Reporting Officer ("MLRO") regardless of whether you believe a Suspicious Transaction Report ("STR") has already been made by another person to the Joint Financial Intelligence Unit ("JFIU"), or other authorities.

Once you have reported your suspicions to the MLRO, you have satisfied your statutory obligation to report as imposed under the Organised and Serious Crimes Ordinance ("OSCO"), and United Nations (Anti-Terrorism Measures) Ordinance ("UNATMO").

MLRO must promptly evaluate whether there are suspicious circumstances that would require an STR to be made to the JFIU. If there are, MLRO must report to the JFIU without undue delay and should cooperate with any resulting JFIU investigation.

The Firm may wish to terminate its relationship with Adam who is being or is likely to be investigated. However, before terminating the relationship, the Firm should consider liaising with the JFIU or the investigating officer to ensure that the termination does not tip off Adam or prejudice the investigation.

A person commits the offence of "tipping off" under OSCO or UNATMO if knowing or suspecting that a STR has been made, he or she discloses to any other person any matter that is likely to prejudice an investigation that might be conducted following the original disclosure.

In this respect, the Firm should take into account the risk of tipping off when completing the CDD or Enhanced CDD ("EDD") process. The Firm must ensure that its employees are aware of and sensitive to these issues when conducting CDD or EDD.

Answer 4(b)

- Adam's full name (both current and all previous).
- Adam's date of birth.
- Adam's nationality (both current and all previous).
- Adam's passport number (both current and all previous).
- Adam's passport biodata page that contains his photograph and biographical details (both current and all previous).
- Adam's national identity card (government or state-issued) bearing his photograph (both current and all previous).
- Adam's national driving licence (government or state-issued) incorporating photographic evidence of the identity of Adam.
- Adam's address proof issued within 3 months (telephone bill, electricity bill, etc.).

* * * END OF SECTION A * * *

SECTION B – ESSAY/ SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

Any 3 of the below (information and/ or documentary evidence that CML should provide to the IRD supporting the deduction of the service fee):

1. Identity of the service fees recipient ("the Recipient"), e.g. name, Identity Card number, address, contact method, etc.
2. Any relationship between CML and the Recipient. Whether the Recipient was a related party of CML.
3. Service agreement entered into between CML and the Recipient.
4. Basis of computation of the service fees paid and the underlying rationale.
5. Payment evidence of the service fee.
6. Evidence of actual services rendered by the Recipient, e.g. communication records between the Recipient, CML and any other third party, proposals, work reports, evaluation, appraisal, etc.
7. Circumstances under which services from the Recipient were needed.
8. Reasons why the Recipient, instead of other individuals/ entities, was engaged for the provision of the services.

Comment on the deductibility of the service fee:

S.16(1) provides that in ascertaining the profits in respect of which a person is chargeable to Profits Tax for any year of assessment there shall be deducted all outgoings and expenses to the extent to which they are incurred during the basis period for that year of assessment by such person in the production of chargeable profits for any period.

S.17(1)(b) provides that for the purposes of ascertaining the chargeable profits, no deduction shall be allowed in respect of any disbursements or expenses not being money expended for the purpose of producing chargeable profits.

Whether the service fee is deductible depends on the facts and circumstances of the case. Generally speaking, if CML could adduce evidence to (i) show that it incurred the service fee during the year of assessment 2021/22; (ii) establish the relationship between the advisory services rendered by the Recipient and CML's profits producing activities in the online media production business; and (iii) the service fee was determined on an arm's length basis and not otherwise excessive in quantum, then the service fee should be deductible.

Answer 5(b)

General IRO provisions governing expenses deduction:

Ss.16(1) and 17(1)(b) are discussed in Answer 5(a) above.

Further, s.17(1)(c) provides that for the purposes of ascertaining the chargeable profits, no deduction shall be allowed in respect of any expenditure of a capital nature or any loss or withdrawal of capital.

Point (ii): Petty cash stolen by former staff HK\$15,000

Money lost because of theft or misappropriation by an employee can be allowed as an expense arising out of and incidental to the carrying on of the business. The petty cash being stolen was apparently circulating funds of revenue nature. Therefore, it is deductible under s.16(1) of the IRO.

Point (ii): Photographic equipment stolen (net book value HK\$48,000)

The loss of photographic equipment, with depreciation allowances claimed, was obviously a loss of capital asset, and thus no deduction of any written off amount can be allowed under s.17(1)(c).

Additionally, for an ongoing business, there was no provision for deduction or adjustment for any stolen fixed asset under the pooling system in the computation of depreciation allowances.

Point (iii): Traffic fine HK\$5,000

The HK\$5,000 traffic fine was incurred in relation to CML's motor vehicle wholly used for business purposes.

As a general legal principle derived from case law, even if the fine was, to a certain extent, connected with the business carried on, i.e. it would not have been incurred but for the business operation, the fine would still not be accepted as incurred for the purposes of the business. Rather, it was a result of the wrongdoing of the taxpayer. As such, the HK\$5,000 traffic fine was not deductible under s.16(1) and s.17(1)(b) of the IRO.

Point (iii): "Property tax" HK\$43,200

S.17(1)(g) of the IRO specifically debarred the deduction of any tax paid or payable under the IRO, other than salaries tax paid in respect of employees' remuneration.

S.16(1)(b) of the IRO allows the deduction of rent paid by any tenant of land or buildings occupied by him for the purpose of producing such profits, subject to certain conditions not relevant here.

According to the tenancy agreement, it was CML's contractual liability to pay the landlord a sum equivalent to the latter's annual property tax liability, in addition to the monthly rent. On this basis, the true nature of the said sum was not "property tax" paid or payable by CML under Part 2 of the IRO, but should be part of the rent it owed to the landlord, and thus deductible under s.16(1)(b) of the IRO.

Answer 5(c)

Creative Media Limited
Profits Tax computations
Year of assessment 2021/22

	HK\$
Net profits	362,700
<u>Add:</u> Loss of photographic equipment	48,000
Traffic fine	5,000
Assessable Profits	<u>415,700</u>
<u>Less:</u> Loss brought forward	<u>(600,000)</u>
Net Assessable Profits	<u>-</u>
 Profits Tax @8.25%	 <u>-</u>
 Loss brought forward	 600,000
<u>Less:</u> Loss set off	<u>(415,700)</u>
Loss carried forward	<u>184,300</u>

Year of assessment 2022/23 (provisional)

	HK\$
Assessable Profits	415,700
<u>Less:</u> Loss brought forward	<u>(184,300)</u>
Net Assessable Profits	<u>231,400</u>
 Profits Tax @8.25%	 <u>19,090</u>

Answer 6(a)

S.71(2) of the IRO stipulates that tax shall be paid notwithstanding any notice of objection or appeal, unless the Commissioner of Inland Revenue ("CIR") orders that payment of tax or any part thereof be held over pending the result of such objection or appeal.

Provided that where the CIR so orders he may do so conditionally upon the person who or on whose behalf the objection or appeal is made providing security for the payment of the amount of tax or any part thereof the payment of which is held over either—

- (a) by purchasing a certificate issued under the Tax Reserve Certificates Ordinance (Cap. 289);
or
- (b) by furnishing a banker's undertaking, as the CIR may require.

Therefore, GWL must still pay the tax due as usual unless it had received the IRD's order that the payment of tax or any part of it be held over pending the result of the objection.

Answer 6(b)

IRD's policy regarding the treatment of tax payment upon objection is set out in Departmental Interpretation and Practice Notes ("DIPN") No. 6 (Revised).

If upon receipt of a valid objection and request for holdover, it is the opinion of the IRD that the objection has little chance of success, then the IRD will order no stand-over and thus the tax will be payable on the due date(s) specified in the notice of assessment.

On the other hand, if, upon receipt of a valid objection and request for holdover, the IRD is of the view that the objection has some merit but that the balance of probability, based on the facts known to exist at the date of objection, does not weigh definitely in favour of the taxpayer, then a stand-over will be ordered conditional upon the purchase of tax reserve certificates in the amount of the tax stood-over. Further, applications offering to provide banker's undertakings in lieu of the purchase of tax reserve certificates would be considered, if the taxpayer could prove to the IRD that the purchase of tax reserve certificates would cause undue financial hardship. Interest will be payable if any tax covered by a banker's undertaking is finally payable upon settlement of the objection.

For cases where, upon receipt of a valid objection and request for holdover, it is immediately apparent to the IRD that the objection should be allowed, the IRD will order an unconditional stand-over pending revision of the assessment. Again, it should be noted that interest will be payable if any tax unconditionally stood-over is finally payable upon settlement of the objection.

Answer 6(c)

Giving incorrect information, including payment records in relation to the deduction claim of management fees, is a breach of s.80(2)(c) and s.82A(1)(c) of the IRO. CML may be subject to the consequences as follows:

S.80(2)(c) provides that any person who without reasonable excuse gives any incorrect information in relation to any matter or thing affecting his own liability (or the liability of any other person) to tax commits an offence and is liable on conviction to a fine at level 3 (i.e. HK\$10,000) and a further fine of treble the undercharged amount. Pursuant to s.80(5), the CIR may compound any offence under s.80 and may before judgment stay or compound any proceedings thereunder.

Alternatively, under s.82A(1)(c), any person who without reasonable excuse gives any incorrect information in relation to any matter or thing affecting his own liability (or the liability of any other person) to tax shall, if no prosecution under section 80(2) or 82(1) has been instituted in respect of the same facts, be liable to be assessed under s.82A to additional tax of an amount not exceeding treble the undercharged amount.

Answer 7(a)

(i) Payment of first registration fee and annual membership fee by Eric

S.12(1)(a) of the IRO provides that in ascertaining the net assessable income of a person for any year of assessment, there shall be deducted from the assessable income of that person all outgoings and expenses, other than expenses of a domestic or private nature and capital expenditure, wholly, exclusively and necessarily incurred in the production of the assessable income.

While expenses deductible under s.12(1)(a) are limited because of the stringent requirements, in practice the IRD would allow the deduction of subscription to professional bodies where the holding of a professional qualification is a prerequisite of employment and where the retention of membership and the keeping abreast of current developments in the particular profession are of regular use and benefit in the performance of the duties (DIPN No. 9 (Revised), paragraph 17).

In this case, Eric was promoted after attaining the professional qualification. The Employer also agreed to reimburse the fees to him which indicated that the qualification was business related. As such, the annual membership fee of HK\$2,500 paid by Eric to the professional body in the engineering field is deductible under Salaries Tax.

However, no deduction is allowed for the first registration fee (HK\$5,000) which is a "once and for all" payment of capital nature.

- (ii) Reimbursement of the first registration fee and annual membership fee received from the Employer

S.9(1)(a) of the IRO provides that income from any office or employment includes any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite, or allowance, whether derived from the employer or others.

In *David Hardy Glynn v CIR*, the court decided that money which is paid in discharge of a debt of the employee is a perquisite under s.9(1)(a).

It was Eric's personal liability to pay the first registration fee and annual membership fee for the admission to the professional body. Reimbursement of the fees from the Employer is thus perquisite chargeable to Salaries Tax. It should be noted that taxability of the reimbursement of first registration fee does not depend on the deductibility of the same fee under s.12(1)(a).

Answer 7(b)

"e-Dollars"

In *Fuchs v CIR*, the court ruled that "income from employment" included sums made "in return for acting as or being an employee", or "as a reward for past services or as an inducement to enter into employment and provide future services".

For benefits received by employees not in the form of money, it is a well-established principle that the benefits would be treated as chargeable income if they take the form of "money's worth", i.e. they are capable of being turned into money. The taxable amount of the benefits is the value received when they turned into money. (*Tennant v Smith*, *David Hardy Glynn v CIR*, *Wilkins v Rogerson*)

In this case, 50,000 "e-Dollars" was distributed by the Employer to every employee in active employment as at 1 January 2023, including Eric, to celebrate the 50th anniversary. Clearly, the 50,000 "e-Dollars" were awarded to Eric by reason of his "acting as or being an employee" and fell within the legal test of *Fuchs* to be income from employment.

Further, the "e-Dollars" could be used at all shops in the shopping malls of the Employer in Hong Kong, and each "e-Dollar" was worth HK\$0.1. In the circumstances, the "e-Dollars" are considered to have taken the form of "money's worth". The "e-Dollars" received by Eric were taxable at HK\$5,000, i.e. 50,000 "e-Dollars" x HK\$0.1.

Answer 7(c)

Eric
Salaries Tax computation
Year of assessment 2022/23

	HK\$
Salary and bonus	584,000
Reimbursement of first registration fee	5,000
Reimbursement of annual membership fee	2,500
"e-Dollar"	5,000
	<u>596,500</u>
<u>Less:</u> Annual membership fee	(2,500)
MPF contributions	(18,000)
Basic allowance	(132,000)
Dependent parent allowance	(50,000)
Net Chargeable Income	<u>394,000</u>
Tax at progressive rate (Note)	48,980
<u>Less:</u> Tax reduction	<u>(6,000)</u>
Tax payable	<u>42,980</u>

Note: Tax at standard rate is higher and not applicable, i.e.
 $(\text{HK\$}596,500 - \text{HK\$}2,500 - \text{HK\$}18,000) \times 15\% = \text{HK\$}86,400.$

Answer 8(a)

No deduction for domestic rent is allowable to a taxpayer under any one or more of the following circumstances (any 2):

- The taxpayer or his/ her spouse was a legal and beneficial owner of any domestic premises in Hong Kong.
- The landlord of the tenancy concerned was an associate of the taxpayer or his/ her spouse.
- The taxpayer or his/ her spouse was provided with a place of residence by his/ her employer or by an associated corporation of the employer; or the rents payable or paid by the taxpayer/ the spouse in respect of a place of residence were wholly or partly paid or refunded by the employer or the associated corporation.
- The taxpayer or his/ her spouse was a tenant or an authorized occupant of a public rental housing flat of the Hong Kong Housing Authority or the Hong Kong Housing Society.
- The tenancy concerned was prohibited by any law or a Government lease.
- The taxpayer or his/ her spouse had entered into a lease purchase agreement in respect of the premises concerned with the landlord.
- The rents were allowable as a deduction under any other provision of the IRO.
- Any rent paid in respect of any other domestic premises had been allowed to the taxpayer or his/ her spouse as a deduction for the same period for which the rent was paid.

Answer 8(b)

- S.26X(1) provides that a deduction in respect of rents paid under a qualifying tenancy of any domestic premises is allowable to a person for a year of assessment if the rents are so paid, in relation to the year of assessment, by the person or the person's spouse as a tenant (or by both of them as co-tenants); and the premises are used at any time during the year of assessment by the person as the person's place of residence.
- S.26W(1) defines qualifying tenancy, in relation to any domestic premises, means a tenancy in writing in respect of the right to the exclusive use of the premises that is stamped within the meaning of the Stamp Duty Ordinance (Cap. 117).
- As the long staying agreement ("Agreement") clearly stipulated that neither the right to exclusive use of the serviced apartment was conferred, nor a tenancy relationship was created, the Agreement is a licence, and is not chargeable with stamp duty. As such, the Agreement does not fall within the definition of qualifying tenancy under s.26W(1). It follows that no deduction of domestic rents should be allowed under s.26X(1).

Answer 8(c)

- (i) Deduction allowable for the period from 1 April 2022 to 31 December 2022 (before marriage)

For Mr Hui in respect of the tenancy for Flat H

- Rent paid: HK\$22,000 x 9 months = HK\$198,000
- Deduction ceiling limited to the no. of months in contractual period:
HK\$100,000 x 9 months ÷ 12 months = HK\$75,000
- Allowable deduction: HK\$75,000 (A)

For Ms Wong in respect of the long staying agreement with Hotel W

No deduction is allowable in respect of a licence.

- (ii) Deduction allowable for the period from 1 January 2023 to 31 March 2023 (after marriage)

In respect of the tenancy for Flat H

- Rent paid: HK\$22,000 x 3 months = HK\$66,000
- Deduction ceiling limited to the no. of months in contractual period:
HK\$100,000 x 3 months ÷ 12 months = HK\$25,000
- Allowable deduction: HK\$25,000 (B)

- (iii) Respective amounts of deduction allowable to Mr Hui and Ms Wong

- Mr Hui: HK\$75,000 (A) + HK\$25,000 (B) x 50% = HK\$87,500
- Ms Wong: HK\$25,000 (B) x 50% = HK\$12,500

* * * END OF EXAMINATION PAPER * * *